Calculating LTD Benefits as a Lump Sum

Sign-up & Negotiation

1. Sign-up the client
    a. Review policy
    b. Review notes & documents re policy
        i. Has client complied with requests for doctor's visits and examinations?
        ii. What is the value of the monthly benefit?
            1. Is CPPD deducted from the benefit?
            2. Has the client applied for CPPD? Generally the client will be required to apply for CPPD when benefits are approved, and this amount will be deducted from the monthly LTD benefit.
                a. The threshold for CPPD benefits can be higher than the threshold for LTD benefits, so a CPPD benefit denial does not automatically mean that the client should be refused LTD benefits. You can have a client who is refused LTD benefits bring a successful and legitimate claim even if that client has been twice denied CPPD benefits.
        iii. Did the client receive the benefit before being denied?
        iv. Doctor's notes/reports: Does the client's family doctor agree that the client is unable to work?
            1. Specialist's notes? Reports?
        v. What is the limitation period? The clock starts ticking on the date of denial

   c. Although LTD benefit denial claims can often require little work to achieve significant settlements, it is prudent to determine the value of the claim before signing the client!

2. Send initial letter of representation
3. Call DC
   a. Relationships with DC are especially important in LTD claims—sometimes you'll be dealing with the same in-house counsel on a repeat basis. If you've already settled one case with in-house counsel, they will likely be game to settle again, even before you file pleadings.
   b. In-house LTD counsel are especially reluctant to go to trial since a loss at trial can hurt the reputation of the provider and the marketability of the insurer's products.
   c. This is a good opportunity to mention scheduling re mediation and trial dates.
4. Send a settlement proposal
5. Negotiate
6. Collect
   a. If you are unable to reach a settlement early on, schedule a trial, mediation, and expert reports.
   b. Continue calling DC to shoot the breeze and see if you can reach a settlement. I have settled cases before litigating where DC values settlement at 70-80% of the lump sum and pays out accordingly.

Calculating the Lump Sum Value of the Claim

1. Determine the Number of Years Remaining on the Claim

- This should be from the date of denial to the end date prescribed in the claim (usually 65 [age of retirement]).
- You can use this Age Calculator to help you determine the years and days remaining on a policy: https://www.calculator.net/age-calculator.html

Examples of Age Calculation

- Lisa was born on Jan 1, 1982. She was denied benefits on Jan 1, 2022. Her net monthly benefit is $1000 less CPPD. Her benefits would be paid until she turns 65.
    - Lisa turns 65 on Jan 1, 2047.
    - We can calculate Lisa's benefit period as 2022-2047, a period of 25 years.
    - Her benefits as a lump sum before applying the discount rate would be $300,000 ($1000 × 12 × 25).
- Daniel was born on Feb 3, 1970. He was denied benefits on Oct 25, 2021. He was denied CPPD. His monthly benefit is $1642.37. His policy would be paid until he turns 65.
    - Daniel turns 65 on Feb 3, 2035.
    - His benefit period would be Oct 25, 2021 to Feb 3, 2035, a period of 13.28 years (4849 days).
    - His benefits as a lump sum before applying the discount rate would be $261,728. 08 ($1642.37 × 12 × 13.28).

2. Apply the Discount Rate

Sources:

- https://fishmanlawyers.ca/discount-rates-and-present-day-values/
- CIVJI, Appendix E—Present Value Table

Discount rates are used by courts to determine the present day value of a loss of future income, i.e. a loss of LTD benefits payable into the future. The discount rate assumes that the lump sum will be invested and earn interest, so that in the long-term the present value will equate to a full payout of the future benefits.

s. 56(2) of BC Law and Equity Act and the Law and Equity Regulation determine the discount rate. The Regulation sets the current rate at 1.5%. This rate accounts for interest rates, inflation rates, and labour productivity.

Since past benefits due have nothing to do with the future, they can be calculated using the date of a letter or mediation.

The discount rate is straightforward to apply. Simply take the number of future years remaining on the policy, consult the number listed in the table of Appendix E, and multiply that amount by the annual benefit owed.

Take a look at these examples:

- Lisa hires a lawyer that sends a settlement proposal on Jan 1, 2023. The settlement proposal calculates the amount owing as follows:
  - Past benefits owing (from date of denial [Jan 1, 2022] to Jan 1, 2023): $1000 × 12 × 1 = $12,000
  - Future benefits owing (from date after proposal [Jan 2, 2023] to Jan 1, 2047):
    $1000 × 12 × 20.0304 = $240,364.80
    - Lisa has 24 years from the date of her letter until retirement at age 65.
    - 20.0304 is taken from the Present Value Table at Year 24, 1.5%.
  - Total demanded: $252,364.80 + (punitive damages and aggravated damages) + costs & disbursements
    - $12,000 + $240,364.80
- Daniel's lawyer is unable to reach a settlement and sets a mediation date for December 5, 2022. His lawyer calculates his benefits owing as follows:
  - Past benefits owing (from date of denial [Oct 25, 2021] to Dec 5, 2022): $1642.37 × 12 × 1.11 = $21,876.37
  - Future benefits owing (from date after mediation [Dec 6, 2022] to Feb 3, 2035):
    $1642.37 × 12 × 10.9075 = $214,969
    - Daniel has 12.1698 years from the date of mediation until retirement at age 65.

        - 10.9075 is taken from the Present Value Table at Year 12, 1.5%.
        - The 10.9075 figure accounts for 12 years, but the loss in future benefits to Daniel is 12.1698 years. You may want to account for this by calculating the fraction for Year 13 and applying that to the remaining 0.1698 year amount:
            - 11.7315 / 13 = .9024
            - .9024 × 0.1698 = 0.1532
            - 0.1532 x $1642.37 × 12 = $3019.33
            - We can then add $3019.33 to the amount owed in future benefits:
    - Total demanded: $239,864.70 + (punitive damages and aggravated damages) + costs & disbursements
        - $21,876.37 + $214,969 + $3019.33
- Some lawyers do not account for the discount rate in their settlement proposals or mediation briefs. Of course, this means that you will start with a higher number for your initial offer, but DC will likely immediately ask you to account for the discount rate. This is your call—excluding mention or calculation of the discount rate from your correspondence with DC may bring your competence into question.

3. Account for Aggravated and/or Punitive Damages

- There are plenty of options for case law on aggravated damages and punitive damages for LTD benefits denial claims. *Fidler v. Sun Life*, 2006, 2 S.C.R. 3 is a great starting point—note that up and go from there.
- Add the heads for aggravated and punitive damages to your demand accordingly.